

Independent Accountant's Verification and Performance Examination Report

Mr. Douglas Kramer
Chief Executive Officer
Horizon Asset Management, LLC.:

We have examined whether (1) Horizon Asset Management Institutional (the "Firm") has complied with all the composite construction requirements of the Global Investment Performance Standards (GIPS® standards) on a firm-wide basis for the periods from January 1, 1996, to September 30, 2014, and (2) the Firm's policies and procedures are designed to calculate and present performance results in compliance with the GIPS standards as of September 30, 2014. We have also examined the accompanying performance presentation and Composite Disclosure Presentation of the Firm's **Global Large Cap Value - Institutional Composite** for the periods from February 1, 2007, to September 30, 2014. The Firm's management is responsible for compliance with the GIPS standards, the design of its policies and procedures and for the Quarterly Performance and Composite Disclosure Presentations. Our responsibility is to express an opinion based on our examination.

Scope of Work

Our examination was conducted in accordance with attestation standards established by the American Institute of Certified Public Accountants and, accordingly, included examining, on a test basis, evidence about the Firm's compliance with the previously mentioned requirements; evaluating the design of the Firm's policies and procedures previously referred to; examining, on a test basis, evidence supporting the accompanying composite compliant presentation; and performing the procedures for a verification and performance examination required by the GIPS standards and such other procedures as we considered necessary in the circumstances. We believe that our examination provides a reasonable basis for our opinion.

Opinion

In our opinion, in all material respects,

- the Firm has complied with all the composite construction requirements of the GIPS standards on a firm-wide basis for the periods from January 1, 1996, to September 30, 2014; and
- the Firm's policies and procedures are designed to calculate and present performance in compliance with the GIPS standards as of September 30, 2014.

Also, in our opinion, in all material respects, the Firm has

- constructed the **Global Large Cap Value - Institutional Composite** and calculated the **Global Large Cap Value - Institutional Composite** performance for the periods from February 1, 2007, to September 30, 2014, in compliance with the GIPS standards; and
- prepared and presented the Composite Disclosure Presentation of the Firm's **Global Large Cap Value - Institutional Composite** for the periods from February 1, 2007, to September 30, 2014, in compliance with the GIPS standards.

This report does not contain an opinion on the accuracy of any composite presentation of the Firm other than the Composite Disclosure Presentation of the Firm's **Global Large Cap Value - Institutional Composite** for the periods from February 1, 2007, to September 30, 2014.


Ashland Partners & Company LLP
January 7, 2015

HORIZON ASSET MANAGEMENT INSTITUTIONAL GLOBAL LARGE CAP VALUE - INSTITUTIONAL COMPOSITE QUARTERLY PERFORMANCE PRESENTATION

*Asset-Weighted Performance Gross and Net of Management Fees
Results have been calculated in U.S. Dollars*

		1st Qtr	2nd Qtr	3rd Qtr	4th Qtr	Annual
2014	Gross	0.45%	2.86%	(8.25%)		
	Net	0.20%	2.60%	(8.48%)		
2013	Gross	7.29%	1.39%	11.83%	9.48%	33.19%
	Net	7.02%	1.13%	11.55%	9.21%	31.85%
2012	Gross	10.71%	(5.24%)	7.31%	7.89%	21.46%
	Net	10.43%	(5.47%)	7.04%	7.62%	20.25%
2011	Gross	4.11%	(1.67%)	(19.71%)	4.59%	(14.03%)
	Net	3.85%	(1.91%)	(19.91%)	4.33%	(14.89%)
2010	Gross	5.08%	(11.29%)	14.71%	13.76%	21.65%
	Net	4.82%	(11.51%)	14.42%	13.47%	20.43%
2009	Gross	(5.31%)	26.43%	17.33%	4.04%	46.14%
	Net	(5.54%)	26.11%	17.04%	3.78%	44.68%
2008	Gross	(18.44%)	(6.84%)	(9.10%)	(28.29%)	(50.47%)
	Net	(18.65%)	(7.07%)	(9.33%)	(28.47%)	(50.97%)
2007	Gross	(1.16%)*	10.97%	11.67%	0.37%	22.93%*
	Net	(1.33%)*	10.69%	11.39%	0.12%	21.80%*

*** Represents non-annualized partial period performance beginning on February 1, 2007.**

Past performance is not indicative of future results. The Independent Accountant's Verification and Performance Examination Report and the Composite Disclosure Presentation are an integral part of this presentation.

Horizon Global Large Cap Value Institutional Composite

February 1, 2007-December 31, 2013



	Total Gross Return (%)	Total Net Return (%)	Benchmark Return (%)	Internal Dispersion- AW (%)	No. of Accounts	Composite Assets	Total Firm Assets	Composite 3-Yr St Dev	Benchmark 3-Yr St Dev (%)
2013	33.19	31.85	22.80	1.31	8	5.1mm	3,132mm	17.07	14.14
2012	21.46	20.25	16.13	0.40	9	46.9mm	2,508mm	18.84	17.37
2011	-14.03	-14.89	-7.35	0.58	13	40.4mm	2,303mm	22.80	20.88
2010	21.65	20.43	12.67	1.01	16	39.1mm	2,450mm	26.18	24.84
2009	46.14	44.68	34.63	1.34	17	33.0mm	2,211mm		
2008	-50.47	-50.97	-42.20	3.49	18	4.0mm	1,957mm		
Feb 07 to Dec 07	22.93	21.80	10.56	N/A ⁽¹⁾	9	14.1mm	5,934mm		
Since Inception ⁽²⁾	6.09	5.03	3.64	N/A ⁽¹⁾	8	5.1mm	3,132mm		

- (1) N/A.- Information is not statistically meaningful due to an insufficient number of portfolios in the composite for the entire year
(2) Annualized.

Disclosure Notes

Horizon Asset Management Institutional ("Horizon Institutional") is defined as the traditional long only separate accounts and private investment fund assets of Horizon Asset Management LLC. ("Horizon" or the "Firm"), an SEC-registered investment adviser. Horizon Institutional excludes separately managed, non-direct accounts, and other accounts that are either serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. The Firm maintains a complete list and description of composites, which is available upon request.

The Horizon Global Large Cap Value - Institutional Composite seeks above market long-term returns by investing primarily in a focused portfolio of common stocks of global issuers. Successful long-term value investing is achieved through the identification of companies that have the ability to generate high and sustainable returns on invested capital. In such a scenario, patience is required, yet rewarding, as the phenomenon of a compounding book value often translates into stock price appreciation over time. Horizon seeks to avoid short-term investing and significant portfolio turnover. The strategy does not seek to track or compare itself to any particular equity benchmark; hence the MSCI All Country World Index benchmark shown here is for informational purposes only (The MSCI ACWI (All Country World Index) Index is a free float-adjusted market capitalization weighted index that is designed to measure the equity market performance of developed and emerging markets. As of May 27, 2010 the MSCI ACWI consisted of 45 country indices comprising 24 developed and 21 emerging market country indices. The developed market country indices included are: Australia, Austria, Belgium, Canada, Denmark, Finland, France, Germany, Greece, Hong Kong, Ireland, Israel, Italy, Japan, Netherlands, New Zealand, Norway, Portugal, Singapore, Spain, Sweden, Switzerland, the United Kingdom and the United States. The emerging market country indices included are: Brazil, Chile, China, Colombia, Czech Republic, Egypt, Hungary, India, Indonesia, Korea, Malaysia, Mexico, Morocco, Peru, Philippines, Poland, Russia, South Africa, Taiwan, Thailand, and Turkey). Process: Horizon seeks to create a portfolio of large capitalization stocks that has an approximate 50/50 balance between US and foreign investments. With the foreign portion, particular interest is paid to non-export businesses that offer exposure to undervalued foreign currencies. This is done by identifying businesses that cater to local economies, e.g. infrastructure, energy, financial services, etc. Such companies' revenue streams are in the local currency with no foreign exposure, offering the investor a free call option on that currency. Portfolio Construction: Portfolio typically invests in 40-50 securities. A portfolio's cash position may vary depending on the availability of attractive opportunities. Horizon does not strictly follow a portfolio model as a result dispersion among client portfolios may be experienced in the short run. Position turnover typically averages 20% per annum over time. Although the focus of the portfolio is equities, the portfolio may invest in other parts of the capital structure when the research process identifies opportunities that may offer superior risk/return. The portfolio manager also has discretion to utilize derivatives opportunistically when the research process identifies superior risk/return of such positions. The Horizon Global Large Cap Value - Institutional Composite may also opportunistically invest in countries outside of the benchmark. Horizon's opportunistic investment process is global in scope and requires thorough understanding of all parts of an investment's capital structure. Substantially all portfolios in the composite show performance net of foreign withholding taxes. A more consistent treatment of withholding taxes was not feasible due to fee coding from the custodian, and the difference on performance has not been identified to be material. Withholding taxes may vary according to the investor's domicile and the treatment of withholding taxes by a portfolio's custodians. The U.S. Dollar is the currency used to express performance.

The Horizon Global Large Cap Value - Institutional Composite was created on 1 Feb 07. The composite includes all fully discretionary accounts under management, including accounts no longer with the Firm. Returns include the effect of foreign currency exchange rates. Past performance is not indicative of future returns. Returns are presented gross and net of management fees and include the reinvestment of all income. In addition to investment advisory fees, returns will be reduced by other expenses that may be incurred in the management of the account. Net of fee performance was calculated using the highest applicable annual management fee of 1% applied monthly. The investment management fee schedule for the composite is 1.00% on the First \$5 million, 0.95% on the Next \$5 million, 0.85% on the Next \$15 million, 0.75% on the Balance. Actual investment advisory fees incurred by clients may vary. The collection of fees produces a compounding effect on the total rate of return net of management fees. For example, a portfolio that earned 8% per annum for ten years would result in a cumulative return of 115.9% before investment management fees and 96.72% net of such fees, assuming a 100 basis point (1.0%) fee per year. The annual composite dispersion presented is an asset-weighted standard deviation of annual gross returns of those portfolios that were included in the composite for the entire year. The three-year annualized standard deviation measures the variability of the composite and the benchmark returns over the preceding 36-month period. Composite returns represent investors domiciled primarily in the United States. Additional information regarding policies for valuing portfolios, calculating performance, and preparing compliant presentations are available upon request.

*Horizon Institutional claims compliance with the Global Investment Performance Standards GIPS® and has prepared and presented this report in compliance with the GIPS standards. Horizon has been independently verified for the period January 1, 1996 through June 30, 2014.

*Verification assesses whether (1) the Firm has complied with all the composite construction requirements of the GIPS standards on a Firm wide basis and (2) the Firm's policies and procedures are designed to calculate and present performance in compliance with the GIPS standards. The Horizon Global Large Cap Value composite has been examined for the periods February 1, 2007 through June 30, 2014. The verification and performance examination reports are available upon request.

*Horizon has retained the identical management team and investment style since the inception of the composite and maintains the records necessary to support the performance of all composites and will provide these records upon request.